

Senate File 2414 - Introduced

SENATE FILE 2414

BY BENNETT

A BILL FOR

1 An Act relating to automated decision systems used by
2 employers.

3 BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

1 Section 1. Section 10A.202, subsection 2, Code 2026, is
2 amended to read as follows:

3 2. The department is responsible for the administration of
4 the laws of this state under [chapters 88A, 88B, 89, 89A, 90A,](#)
5 [91A, 91C, 91D, 91E, 91F, and 92,](#) and such other labor-services
6 duties assigned to the department or director.

7 Sec. 2. Section 10A.204, subsection 3, Code 2026, is amended
8 to read as follows:

9 3. The director, in consultation with the labor
10 commissioner, shall, at the time provided by law, make an
11 annual report to the governor setting forth in appropriate
12 form the business and expense of the division and department
13 under [this subchapter](#) for the preceding year, the number
14 of remedial actions taken under [chapter 89A,](#) the number of
15 disputes or violations processed by the division or department
16 and the disposition of the disputes or violations, and other
17 matters pertaining to the division or department under this
18 subchapter ~~which~~ that are of public interest, together with
19 recommendations for change or amendment of the laws in this
20 chapter and [chapters 88, 88A, 88B, 89, 89A, 89B, 90A, 91A, 91C,](#)
21 [91D, 91E, 91F, and 92,](#) and [sections 85.67A and 85.68,](#) and the
22 recommendations, if any, shall be transmitted by the governor
23 to the first general assembly in session after the report is
24 filed.

25 Sec. 3. NEW SECTION. 91F.1 Definitions.

26 For purposes of this section, unless the context otherwise
27 requires:

28 1. "*Artificial intelligence*" means an engineered or
29 machine-based system that varies in its level of autonomy and
30 that can, for explicit or implicit objectives, infer from input
31 received how to generate outputs that can influence physical
32 or virtual environments.

33 2. "*Authorized representative*" means any person or
34 organization appointed by the employee to serve as an agent of
35 the employee. "*Authorized representative*" does not include an

1 employee's employer.

2 3. "*Automated decision system*" means any computational
3 process derived from machine learning, statistical modeling,
4 data analytics, or artificial intelligence that issues
5 simplified output, including a score, classification, or
6 recommendation, that is used to assist or replace human
7 discretionary decision making and materially impacts natural
8 persons. "*Automated decision system*" does not include a spam
9 electronic mail filter, firewall, antivirus software, identity
10 and access management tool, calculator, database, dataset, or
11 other compilation of data.

12 4. "*Automated decision system output*" means any information,
13 data, assumptions, predictions, scoring, recommendations,
14 decisions, or conclusions generated by an automated decision
15 system.

16 5. "*Department*" means the department of inspections,
17 appeals, and licensing.

18 6. "*Employee*" means any natural person who provides services
19 for compensation for an employer in any workplace. "*Employee*"
20 includes an independent contractor.

21 7. "*Employee data*" means any information that identifies,
22 relates to, or describes an employee, regardless of how the
23 information is collected, inferred, or obtained.

24 8. "*Employer*" means any person who directly or indirectly,
25 or through an agent or any other person, employs or exercises
26 control over the wages, benefits, other compensation, hours,
27 working conditions, access to work or job opportunities, or
28 other terms or conditions of employment of any employee in this
29 state. "*Employer*" includes a person who contracts for labor on
30 behalf of an employer.

31 9. "*Employment-related decision*" means any decision by
32 an employer that materially impacts an employee's wages,
33 benefits, compensation, work hours, work schedule, performance
34 evaluation, hiring, discipline, promotion, termination, job
35 tasks, skill requirements, work responsibilities, assignment of

1 work, access to work and training opportunities, productivity
2 requirements, or workplace health and safety.

3 10. "Quota" means a work standard under which an employee
4 is assigned or required to perform at a specified productivity
5 speed, to perform a quantified number of tasks, or to handle
6 or produce a quantified amount of material, within a defined
7 time period and under which the employee may suffer an adverse
8 employment action if the employee fails to complete the
9 performance standard.

10 Sec. 4. NEW SECTION. 91F.2 Automated decision systems —
11 advance notice.

12 1. An employer shall provide a written notice that an
13 automated decision system is in use for the purpose of making
14 employment-related decisions, other than hiring decisions, at
15 the workplace to an employee who will foreseeably be directly
16 affected by the automated decision system, or the employee's
17 authorized representative. The employer shall provide the
18 notice by the following dates:

19 a. At least thirty days before an automated decision system
20 is first deployed by the employer.

21 b. If the employer is using an automated decision system
22 to assist in making employment-related decisions as of the
23 effective date of this Act, no later than January 1, 2027.

24 c. To a new employee within thirty days of hiring the
25 employee.

26 2. A notice provided pursuant to subsection 1 shall contain
27 all of the following information:

28 a. The type of employment-related decisions potentially
29 affected by the automated decision system.

30 b. A general description of the categories of employee-input
31 data the automated decision system will use, the sources of
32 employee input data, and how employee input data will be
33 collected.

34 c. Any key parameters known to disproportionately affect the
35 output of the automated decision system.

1 *d.* The individuals, vendors, or entities that created the
2 automated decision system.

3 *e.* If applicable, a description of each quota set or
4 measured by an automated decision system to which the employee
5 is subject, including the quantified number of tasks to be
6 performed or products to be produced, and any potential adverse
7 employment action that could result from failure to meet the
8 quota, as well as whether those quotas are subject to change
9 and if any notice is given of changes in quotas.

10 *f.* A description of the employee's right to access and
11 correct the employee's data used by the automated decision
12 system.

13 *g.* That the employer is prohibited from retaliating against
14 employees for exercising the rights provided in this chapter.

15 3. A written notice required by subsection 1 shall
16 be written in plain language as a separate, stand-alone
17 communication. The notice shall be in the language in which
18 routine communications and other information are provided to
19 employees. The notice shall be provided via a simple and
20 easy-to-use method, including but not limited to an email,
21 electronic link, or other written format.

22 4. If an employer will use an automated decision system
23 in making hiring decisions for a position, the employer shall
24 notify an applicant for the position, upon receiving the
25 application, that the employer utilizes an automated decision
26 system when making hiring decisions. The employer may make the
27 notification using an automatic reply mechanism or on a job
28 posting.

29 5. An employer shall maintain an updated list of all
30 automated decision systems currently in use by the employer to
31 facilitate implementation of this section.

32 Sec. 5. NEW SECTION. **91F.3 Employer requirements.**

33 1. An employer shall not use an automated decision system to
34 do any of the following:

35 *a.* Prevent compliance with or violate any federal, state,

1 or local labor, occupational health and safety, employment, or
2 civil rights laws or regulations.

3 **b.** Infer an employee's protected status under chapter 216.

4 **c.** Identify, profile, predict, or take adverse action
5 against an employee for exercising the employee's legal rights,
6 including but not limited to rights guaranteed by state and
7 federal employment and labor laws.

8 **d.** Collect employee data for a purpose that is not disclosed
9 pursuant to the notice requirements in section 91F.2.

10 **e.** Rely solely on an automated decision system when making a
11 discipline, termination, or deactivation decision.

12 2. When an employer relies primarily on output from an
13 automated decision system to make a discipline, termination, or
14 deactivation decision, the employer shall use a human reviewer
15 to review the automated decision system output and compile and
16 review other information that is relevant to the decision, if
17 any. For purposes of this subsection, "*other information*" may
18 include but is not limited to any of the following:

19 **a.** Supervisory or managerial evaluations.

20 **b.** Personnel files.

21 **c.** Work product of employees.

22 **d.** Peer reviews.

23 **e.** Witness interviews, which may include relevant online
24 customer reviews.

25 3. An employer shall not use customer ratings as the only
26 or primary input data for an automated decision system to make
27 employment-related decisions.

28 **Sec. 6. NEW SECTION. 91F.4 Automated decision systems —**
29 **notice after decision.**

30 1. An employer that primarily relied on an automated
31 decision system to make a discipline, termination, or
32 deactivation decision shall provide the affected employee with
33 a written notice at the time the employer informs the employee
34 of the decision.

35 2. A notice provided pursuant to subsection 1 shall contain

1 all of the following information:

2 *a.* The individual to contact for more information about the
3 decision.

4 *b.* That the employer used an automated decision system to
5 assist the employer in one or more discipline, termination, or
6 deactivation decisions with respect to the employee.

7 *c.* That the employee has the right to request a copy of the
8 employee's data used by the automated decision system.

9 *d.* That the employer is prohibited from retaliating against
10 the employee for exercising the rights provided in this
11 chapter.

12 3. A written notice required by subsection 1 shall
13 be written in plain language as a separate, stand-alone
14 communication. The notice shall be in the language in which
15 routine communications and other information are provided to
16 employees. The notice shall be provided via a simple and
17 easy-to-use method, including but not limited to an email,
18 electronic link, or other written format.

19 Sec. 7. NEW SECTION. **91F.5 Employee access to data.**

20 An employee has the right to request a copy of the most
21 recent twelve months of the employee's own data primarily
22 used by an automated decision system to make a discipline,
23 termination, or deactivation decision. An employer shall
24 provide a copy upon request. An employee is limited to one
25 such request every twelve months.

26 Sec. 8. NEW SECTION. **91F.6 Privacy of personal information.**

27 For purposes of safeguarding the privacy rights of
28 consumers, employees, and individuals, when an employer is
29 required to provide employee data pursuant to this chapter, the
30 employer shall provide the data in a manner that anonymizes
31 the personal information of any customer, employee, or other
32 individual.

33 Sec. 9. NEW SECTION. **91F.7 Retaliation prohibited.**

34 An employer shall not discharge, threaten to discharge,
35 demote, suspend, or in any manner discriminate or retaliate

1 against any employee for using or attempting to exercise the
2 employee's rights under this chapter, filing a complaint
3 with the department alleging a violation of this chapter,
4 cooperating in an investigation or prosecution of an alleged
5 violation of this chapter, or taking any action to invoke or
6 assist in any manner the enforcement of this chapter.

7 Sec. 10. NEW SECTION. **91F.8 Enforcement — penalties.**

8 1. The department shall enforce this chapter. Such
9 enforcement may include but is not limited to investigating
10 alleged violations, ordering appropriate temporary relief to
11 mitigate a violation, issuing a citation against an employer
12 who violates this chapter, conducting contested case hearings
13 if requested, and bringing a civil action in district court for
14 enforcement.

15 2. An employer who violates this chapter shall be subject
16 to a civil penalty of five hundred dollars, collectible by the
17 department pursuant to subsection 1.

18 3. A person subject to a violation of this chapter may
19 bring an action in district court for appropriate temporary
20 or preliminary injunctive relief, including punitive damages,
21 and reasonable attorney fees and court costs. The department
22 may bring such an action on the person's behalf pursuant to
23 subsection 1 with the person's consent.

24 Sec. 11. NEW SECTION. **91F.9 Rules.**

25 The department shall adopt rules pursuant to chapter 17A to
26 administer this chapter.

27 Sec. 12. NEW SECTION. **91F.10 Construction of chapter.**

28 This chapter shall not be construed to prohibit any employer
29 from complying with regulatory or contractual requirements
30 in the provision of products or services to the federal
31 government.

32 EXPLANATION

33 The inclusion of this explanation does not constitute agreement with
34 the explanation's substance by the members of the general assembly.

35 This bill relates to automated decision systems used by

1 employers.

2 The bill requires an employer to provide a written notice
3 that an automated decision system, as defined in the bill, is
4 in use for the purpose of making employment-related decisions,
5 other than hiring decisions, at the workplace to an employee
6 who will foreseeably be directly affected by the automated
7 decision system. The bill specifies the time period, content,
8 and format of such notices.

9 If an employer will use an automated decision system in
10 making hiring decisions for a position, the bill requires
11 the employer to notify an applicant for the position, upon
12 receiving the application, that the employer utilizes an
13 automated decision system when making hiring decisions.

14 The bill specifies various prohibited uses of automated
15 decision systems by employers relating to employee rights.

16 When an employer relies primarily on output from an
17 automated decision system to make a discipline, termination,
18 or deactivation decision, the bill requires the employer to
19 use a human reviewer to review the automated decision system
20 output and compile and review other specified information that
21 is relevant to the decision, if any.

22 The bill prohibits an employer from using customer ratings
23 as the only or primary input data for an automated decision
24 system to make employment-related decisions.

25 The bill requires an employer that primarily relied on an
26 automated decision system to make a discipline, termination,
27 or deactivation decision to provide the affected employee with
28 a written notice at the time the employer informs the employee
29 of the decision. The bill specifies the content and format of
30 the notice.

31 The bill provides that an employee shall have the right to
32 request a copy of the most recent 12 months of the employee's
33 own data primarily used by an automated decision system to
34 make a discipline, termination, or deactivation decision. An
35 employer shall provide a copy upon request. An employee is

1 limited to one such request every 12 months.

2 For purposes of safeguarding the privacy rights of
3 consumers, employees, and individuals, when an employer is
4 required to provide employee data pursuant to the bill, the
5 employer is required to provide the data in a manner that
6 anonymizes the personal information of any customer, employee,
7 or other individual.

8 The bill prohibits an employer from discharging, threatening
9 to discharge, demoting, suspending, or in any manner
10 discriminating or retaliating against any employee for using
11 or attempting to exercise the employee's rights under the
12 bill, filing a complaint alleging a violation of the bill,
13 cooperating in an investigation or prosecution of an alleged
14 violation, or taking any action to invoke or assist in any
15 manner the enforcement of the bill.

16 The bill is enforced by the department of inspections,
17 appeals, and licensing (department). Such enforcement may
18 include but is not limited to investigating alleged violations,
19 ordering appropriate temporary relief to mitigate a violation,
20 issuing a citation against an employer who violates the bill,
21 conducting contested case hearings if requested, and bringing a
22 civil action for enforcement.

23 An employer who violates the bill shall be subject to a civil
24 penalty of \$500, collectible by the department.

25 A person subject to a violation of the bill may bring
26 an action in district court for appropriate temporary or
27 preliminary injunctive relief, including punitive damages, and
28 reasonable attorney fees and court costs. The department may
29 bring such an action on the person's behalf with the person's
30 consent.

31 The bill shall not be construed to prohibit any employer from
32 complying with regulatory or contractual requirements in the
33 provision of products or services to the federal government.